

Lecture 21 (2026-08-22)

Quick Summary

The segment covers the transition from organizational structure to human resource management, specifically focusing on the processes of human resource planning, recruitment, and selection. It details the calculation of manpower needs based on project variables, the differentiation between internal and external hiring, and the strategic use of Realistic Job Previews (RJP). The latter half of the segment focuses on the "Selection" phase, detailing the funnel-based methodology of narrowing a candidate pool, the distinction between structured and unstructured interviews, the management of perception biases (Halo/Horn effects), and the impact of external environments (AI, economic shifts, etc.) on hiring strategy. **The new segment introduces barriers to effective selection (such as anchoring bias and time pressure), the importance of measuring performance over personal traits, and the strategic implementation of work-life balance programs (job sharing, flex time, and telecommuting) tailored to specific industry contexts. It also introduces Compensation Management, categorizing rewards into financial (base salary, incentives, fringe benefits, perquisites, and rewards, and stock options) and non-financial components (recognition, growth, and responsibility), while applying Reinforcement Theory and Expectancy Theory to analyze employee motivation. It further explores Equity Theory and Agency Theory to ensure alignment of interests and perceived fairness in compensation, and examines the consequences of pay dissatisfaction. The segment concludes by emphasizing that compensation is not a "mechanical" process but a management strategy based on how human beings "appreciate" their rewards, noting that the applicability of specific theories (e.g., for "labor class" employees who prioritize survival/daily income) must be context-specific.**

Key Definitions

- **Human Resource Inventory:** An assessment of the current number of employees, their skill sets, and their experience levels within the organization to identify gaps against requirements.
- **Job Analysis:** The process of studying a specific role to determine required responsibilities, decisions, and the specific skills/qualifications (e.g., engineering background, years of experience) needed to perform the job.
- **Job Description (JD):** A document resulting from job analysis detailing the duties and responsibilities of a role.
- **Job Specification (JS):** A document resulting from job analysis outlining the qualifications, experience, and skills required for a candidate.
- **Recruitment:** The process of attracting and obtaining as many applications as possible from eligible job-seekers.
- **Selection:** The process of differentiating between applicants to identify and hire those with the greatest likelihood of success in a specific role. It is a process of finding the "best suitable" candidate based on performance, quality, and experience.
- **Succession Planning:** The strategy of identifying and preparing individuals to fill critical or senior positions, particularly important in large corporations or when transitioning leadership.
- **Realistic Job Preview (RJP):** A recruitment technique that provides a candidate with an honest look at both the positive and negative aspects of a job (e.g., stress, physical demands, travel) to reduce attrition rates.
- **Acceptance Error:** A selection mistake where an organization hires a candidate who ultimately fails to perform in the role. This is the primary "risk" to be minimized in the selection process.

- **Reject Error:** A selection mistake where a high-potential, capable candidate is mistakenly rejected. This is harder to measure but represents a missed opportunity.
- **Probation Period:** A pre-determined timeframe (e.g., six months) where a new hire's performance is assessed before they are "regularized" and made a permanent member of the company.
- **Halo Effect:** A perceptual bias where one positive trait (e.g., being well-dressed or punctual) leads the interviewer to assume the candidate is overall suitable.
- **Horn Effect:** A perceptual bias where one negative trait (e.g., being late once) leads the interviewer to dismiss the candidate entirely.
- **Structured Interview:** A selection method using a pre-determined checklist of questions to ensure consistency and fairness across all candidates.
- **Unstructured Interview:** A less-planned interview style where the interviewer uses discretion to "dig" into specific issues or reactions; often used when the interviewer wants to see how a candidate handles a specific, non-standard inquiry.
- **Behavioral Questions:** Hypothetical or situational questions designed to see how a candidate would respond to a dilemma or a high-stress scenario to test their confidence and judgment.
- **Anchoring Bias:** A cognitive bias where the first piece of information encountered (e.g., the first candidate in an interview) becomes the "anchor" or standard against which all subsequent candidates are compared.
- **Job Sharing:** An arrangement where two employees share a single full-time position, allowing for more time at home and shared responsibilities.
- **Flex Time:** A program allowing employees some control over the specific days and hours they work (e.g., working 4 days, 10 hours a day instead of 5 days, 8 hours a day).
- **Telecommuting:** A form of remote work where employees work from home while remaining connected via internet and phone lines.
- **Fringe Benefits:** Indirect financial benefits provided to employees, such as Provident Fund, medical care, accident care, medical leave help, and group insurance.
- **Perquisites:** Facilities provided to an employee for personal use, such as company vehicles, club memberships, paid holidays, or arranged accommodations (e.g., guest houses).
- **Stock Options:** A form of compensation that gives employees ownership in the company.
- **Hygiene Factors:** Basic requirements that do not necessarily provide extra motivation but cause dissatisfaction if not met (e.g., timely payment of salary, safe working conditions).
- **Equity Theory:** A motivation theory where employees evaluate their "Inputs" (time, effort, skills, experience) against their "Outputs" (salary, benefits, recognition, growth). They then compare this ratio to the ratios of others (peers in the same department, other departments, or the same industry). If the perceived ratio is unfair, it leads to distress; if perceived as fair, it fosters commitment.
- **Agency Theory:** A framework addressing the relationship between "Principals" (owners/employors) and "Agents" (employees/executives). It focuses on aligning the interests of the agents with those of the principals.
- **Agency Cost:** The costs incurred by the principal to ensure that the agent's actions are aligned with the principal's interests.
- **Pay Dissatisfaction:** A condition where an employee is unhappy with their compensation. This can manifest as a demand for more pay (leading to risk of strikes or resignation) or a reduction in job attractiveness (leading to psychological withdrawal, absenteeism, and physical ailments).

Worked Examples

Determining Team Size (Manpower Planning) To calculate the required number of employees for a specific unit (e.g., a manufacturing plant or an IT project), the following variables are factored into the calculation: 1. **Project/Work Volume:** The scope of the task (e.g., number of clients or size of the production line). 2. **Project Duration:** How long the team will be active. 3. **Span of Control:** The number of subordinates a manager can effectively supervise. 4. **Operational Level:** The intensity of the shift (e.g., single shift vs. double shift). * **Reasoning:** These factors determine the "Gap" between current

Human Resource Inventory and actual requirements. If the requirement exceeds inventory, a vacancy is created, triggering the recruitment process.

Salary and Budget Negotiations In cases where a position is "Critical" and the "Market Condition" shows a lack of qualified candidates: * **Mechanism:** The organization may exceed the initial budget for a specific role. * **Reasoning:** This is driven by a lack of "purchasing power" or "dominance" in the hiring market. If the skill set is rare, the organization must offer higher compensation to attract the limited pool of available talent.

Notice Period and Handover Calculation When a position is critical, a notice period (e.g., 3 months) is mandated rather than a short period (e.g., 24 hours). * **Reasoning:** This period allows for a "Dual-Working" phase where both the incumbent (leaving) and the candidate (joining) work together. This ensures there is no "suffering" or interruption in service due to the absence of a person in a critical role.

Selection Funnel (Quantifying the Selection Process) To manage large volumes of applicants, the selection process acts as a filtering "funnel": 1. **CV Screening:** Initial pool of candidates (e.g., 50) based on minimum qualifications. 2. **Assessment/Test:** Elimination of candidates via online tests, paper tests, or aptitude tests (e.g., 50 filtered down to 20). 3. **Preliminary Interview (PI):** Initial conversation to gauge tone and suitability (e.g., 20 filtered down to 10). 4. **Technical/Specialized Rounds:** Deep dive into specific skills. 5. **HR/Offer Round:** Final checks on notice periods, salary negotiations, and background checks (e.g., 10 filtered down to 3 finalists). * **Reasoning:** This multi-stage approach ensures that by the time a candidate reaches the final interview, the probability of a "Selection Error" is significantly reduced.

Interview Methodology Selection Determining which type of question to ask based on the objective: * **Standardized Requirement:** Use **Structured Interviews** (fixed checklists) to ensure fairness and objective assessment of common requirements (e.g., "Why are you leaving your current role?"). * **Behavioral/Cultural Fit:** Use **Behavioral Questions** to test "soft skills" (e.g., "How would you handle a teammate who misses a deadline for the third time?"). * **Probing/Unstructured:** Used when the interviewer needs to test a candidate's "grit" or honesty when they are not sure if the candidate is hiding something or if the question isn't applicable to everyone.

Work-Life Balance Programs (Comparison and Application) Evaluating the effectiveness of different programs based on employer and employee needs: * **Job Sharing:** Two employees share one role. **Reasoning:** High satisfaction and retention of experienced staff; useful for managing heavy workloads or personal commitments (e.g., elder care/childcare). * **Flex Time:** Selecting different hours/days. **Reasoning:** Useful for personal balance, but must be weighed against business operational needs. * **Telecommuting:** Working from home. **Reasoning:** Can be highly attractive but requires a "validity" check. Firms like Pfizer require a formal proposal and proof that the work can be done off-site to mitigate the "loss of control" for managers. * **Contextual Strategy:** When justifying WLB options for a candidate, the answer must be **context-specific**. * **Manufacturing/Site-based:** Limited feasibility for telecommuting/flex-time due to 24/7 operations and physical presence requirements. * **IT/Service Sector:** Higher feasibility for hybrid models, but still limited by client interaction requirements. * **Case Study (e.g., Aviation):** In industries like aviation, some "limitations" are not due to a lack of effort by the company, but because of the nature of the job. If a pilot's schedule requires them to be away for weeks, the company cannot offer standard WLB options; the role's demands dictate the terms.

Compensation Components (Financial vs. Non-Financial) Identifying the different components of a total reward system: * **Financial Components:** * **Base Salary:** Fixed payments (monthly, daily, or hourly). * **Incentives:** Rewards linked to individual or group performance (e.g., commissions). * **Fringe Benefits:** Indirect financial perks (e.g., Provident Fund, medical insurance). * **Perquisites:** Facilities provided (e.g., company vehicles, club memberships, guest houses). * **Stock Options:** Equity or ownership in the company. * **Non-Financial Components:** * Job responsibility and challenge. * Recognition and awards. * Growth perspective (career progression). * Supervision and working conditions. * Job sharing facilities.

Reinforcement Theory in Compensation Applying the concept of rewards and punishments to behavior: * **Mechanism:** Behavior $\rightarrow$ Consequence $\rightarrow$ Repetition of behavior. * **Positive Reinforcement:** Offering rewards (incentives, commissions) to encourage "desired behaviors" (e.g., meeting sales targets). * **Negative Reinforcement (or Punishment):** Implementing penalties (e.g., salary cuts or leave cuts for tardiness) to discourage "undesirable behaviors" (e.g., being late, which disrupts the assembly line and the team's mutual interdependence).

Expectancy Theory in Compensation Applying the "Expectancy" framework to motivate employees through a link between effort and outcome: * **Step 1: Expectancy:** The employee's belief that their **Effort** will lead to successful **Performance**. (e.g., "If I work hard, I will meet my target.") * **Step 2: Instrumentality:** The employee's belief that their **Performance** will lead to a specific **Outcome/Reward**. (e.g., "If I meet my target, I will get a reward.") * **Step 3: Valence:** The **Value** or "attractiveness" the employee places on that reward. (e.g., "Is a 5-day trip to a remote location worth the extra effort?") * **Overall Formula:** Effort $\rightarrow$ Performance $\rightarrow$ Outcome (must be attractive/high valence).

Agency Theory and Stock Options Resolving the conflict of interest between principals and agents: * **Mechanism:** In many cases (e.g., IT companies), **Stock Options** are used instead of direct cash incentives or dividends. * **Reasoning:** Stock options provide the employee with **ownership**. By holding stock, the employee's interest is aligned with the company's growth and valuation. Because stock prices increase with company performance, the employee is "doubled" in their interest in the company's success. Note: Stock options are typically only offered to internal employees.

Telecommunication Reward Scheme (Example of Incentives) A logic for designing a tiered reward system for sales teams: * **Differentiation:** Salespeople may have different reward tiers based on their role (e.g., Retail vs. Corporate sales). * **Variable Reward Type:** Rewards are not always in cash; they can be physical goods (e.g., a car for high volume, a smaller electronic device for smaller targets). * **Consistency:** Incentives are linked to specific targets over a set timeframe (e.g., "this much target for months or this much year").

Pay Dissatisfaction Consequences A logic to determine the impact of inadequate pay: * **Scenario A: Demand for More Pay.** The employee seeks change. Result: High risk of strikes, complaints, or the employee searching for a new job (attrition). * **Scenario B: Reduced Attractiveness of Job.** The employee "withdraws." Result: Psychological withdrawal (reporting but not performing), disorientation, physical ailments (illness/stress), and absenteeism.

Reward System Design and Lifecycle Management of the rotation of rewards and expectations: * **Initial Reward:** Based on the first year's performance. * **Progression:** In the second year, while the reward may continue, the **difficulty level/hazard/complexity** of the targets is increased. * **Balance:** Managers must ensure the level of difficulty remains aligned with the rewards provided to maintain motivation.

[shot_00-24-41.png] **TITLE: Definition of Selection in HR Management Description:** The slide defines the concept of "Selection" with two main points: 1. Selection is the process of picking individuals (out of the pool of job applicants) with requisite qualifications and competence to fill jobs in the organization. 2. "It is the process of differentiating between applicants in order to identify and hire those with a greater amount of likelihood of success in a job."

[shot_00-26-13.png] **TITLE: Selection Process Flowchart Description:** The slide outlines a "Selection Process" categorized under two initial headers: "External Environment" and "Internal Environment." Below these, a sequence of steps is enclosed within a "Required Approach" bracket, following a downward flow: 1. Preliminary Interview 2. Selection Tests

[shot_00-37-08.png] **TITLE: Common Interview Problems Description:** The slide lists "Common Interview Problems" as its main heading. Below the title, there is a bullet point stating "Halo effect". In the top right corner, there is a small segmented bar chart with three sections: "innovate" (orange), "achieve" (blue), and "lead" (red). The background contains a repetitive "Work Integrated Learning Programmes"

watermark and a BITS Pilani logo.

[shot_00-50-57.png] TITLE: Work-Life Balance Case Study Description: The slide contains a text box titled "Case Study: Looking for Work-Life Balance?" which discusses the challenges of balancing work and personal life. The slide highlights that companies are increasingly facing demands for flexible work-life balance programs due to demographic changes, such as an aging population and a rise in "dual career couples." It specifically mentions that "Whirlpool" attempts to attract recruits with a "family-friendly culture" and provides an example of the company arranging housing for an intern and their family. At the top right, there are three boxes labeled "invest", "advice", and "lead". The bottom of the frame includes the text "BITS Pilani, Deemed to be University under Section 10 of UGC Act, 1956".

[shot_00-53-49.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_00-57-24.png] (Note: This screenshot was captured during the segment but nothing was specifically noted.)

[shot_01-14-06.png] TITLE: Learning Objectives - Compensation Management Description: The slide outlines the learning objectives for a "Compensation Management" system. It lists the following points: - Identify the different components of compensation - Theories of Compensation Management - Identify the variables that influence employee compensation - Case study

[shot_01-16-55.png] TITLE: Learning Objectives - Compensation Management Description: The slide outlines four learning objectives for a module on Compensation Management: * Identify the different components of compensation * Theories of Compensation Management * Identify the variables that influence employee compensation * Case study

[shot_01-19-26.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-22-38.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-32-27.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-35-40.png] TITLE: Expectancy and Equity Theory Description: The slide features the main title "Expectancy and Equity Theory" at the top left. Below this, a large rectangular box contains a single bullet point with a YouTube link: "<https://www.youtube.com/watch?v=PJdp0YG4zfU>". In the top right corner, there are three colored rectangular boxes labeled "innovate", "achieve", and "lead". At the bottom right of the slide, there is a footer that reads "BITS Pilani, Deemed to be University under Section 3 of UGC Act, 1956".

[shot_01-36-30.png] TITLE: Motivation Theory (Vroom's Expectancy Theory) Description: The slide displays a large yellow background with a quote attributed to Vroom in 1964: "A person will be motivated if they believe their efforts will lead to what they want". To the right of the text is a portrait of a man and a decorative black seal icon. The bottom right corner features a logo that reads "CREATED USING ROWTON". In the top right corner, there are smaller windows showing a speaker and icons for several participants.

[shot_01-38-36.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-40-03.png] TITLE: Equity Theory Concept Slide Description: The slide explains "Equity theory" with a flowchart-like structure. The main text states: "Individual who see themselves under-rewarded / over-rewarded will experience distress." An arrow points from the title "Equity theory" to this statement, and another arrow points down from that statement to the concluding action: "lead effort

to review equity".

[shot_01-41-11.png] TITLE: Effort and Rewards Balance Description: The slide features a blue background with a white border. On the left, there is a graphic of a lit lightbulb. The main text in the center reads "Needs to be balance between" above a formula in red text: "input = output". Two red arrows point from "input = output" toward the concept of balance.

[shot_01-42-03.png] TITLE: Reward System Design Slide Description: The slide is titled "Reduce in equity help manager to design reward system". It features a large horizontal bar divided into sections. On the left side, there is an icon of a treasure chest with a dollar sign (\$) followed by a plus sign and a stick figure wearing a top hat. On the right side, there is a stick figure with a top hat followed by a heart/symbol.

[shot_01-43-17.png] TITLE: Equity Theory Concept Slide Description: The slide is titled "3. Cognitive option" and discusses concepts related to equity theory in management. It contains the following text and elements: - "Misleading others input or output" (with a red arrow pointing to it). - "Employee tend to make comparision" (written in red). - "He get more project than me" (written in red). - "to reduce" (with a red arrow pointing to it). - "Guidelines"

[shot_01-44-15.png] TITLE: Applicability of Equity Theory Description: The slide discusses the "Applicability equity theory in the modern world." It contains the statement: "Rewards given equally to all involved in the group's performance regardless of individual effort." The slide also features a graphic of the Earth and a row of stylized stick figures, illustrating a group setting.

[shot_01-47-08.png] TITLE: Consequences of Pay Dissatisfaction flowchart Description: The slide shows a diagram mapping the outcomes of two main issues: "Desire for More Pay" and "Reduced Attractiveness of Job".

[shot_01-48-20.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-49-25.png] TITLE: Motivation and Performance Model Description: The slide depicts a flowchart showing a cycle of employee motivation and performance. The process flows as follows: 1. **Employee sets expectations and goals** $\rightarrow$ **Performance is rewarded** 2. A dashed line labeled "Feedback to employees" loops back from "Performance is rewarded" to "Employee sets expectations and goals".

[shot_01-51-24.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

Formulas & Rules

- **Hiring Calculation Rule:** $\text{Hiring} = \text{Recruitment} + \text{Selection}$.
- **Attrition Reduction Rule:** Use Realistic Job Previews (RJP) to ensure candidates understand the "hard" parts of the job (stress, hours, physical discomfort) before joining, thereby reducing the likelihood of them leaving shortly after being hired.
- **Selection Goal Rule:** The primary goal of the multi-round selection process is to minimize the probability of an **Acceptance Error** (hiring someone who cannot perform).
- **Probation Rule:** New hires are often placed on a contract or "Probation Period" (e.g., 6 months) to assess performance before they are "regularized" as permanent employees.
- **Assessment Rule:** Evaluation must be of **performance** (the ability to do the job) and not of the **person** (subjective qualities like language proficiency or personal tastes).
- **Expectancy Theory Rule:** For a reward to be motivating, there must be a clear link between Effort $\rightarrow$ Performance $\rightarrow$ Outcome, and the outcome must have high **Valence** (be valued by the employee).

- **Equity Theory Rule:** An employee is motivated by the perception of fairness. Motivation is high when: $(\text{Inputs} / \text{Outcomes}) \approx (\text{Peer's Inputs} / \text{Peer's Outcomes})$.
- **Agency Theory Rule:** To align the interests of the "Agents" (employees) with the "Principals" (owners), offer ownership-based incentives like **Stock Options** instead of just direct rewards like dividends.

Tricky Logic & Traps

- **Recruitment vs. Selection:** Students often conflate these. **Recruitment** is about **attraction** (widening the pool); **Selection** is about **differentiation** (filtering the pool).
- **Internal vs. External Trade-offs:**
 - **Internal:** Good for morale and cultural alignment; bad because it may lack "innovation" or "new ideas" and can lead to perceptions of favoritism.
 - **External:** Good for "freshness," new skills, and unbiased leadership; bad because of the "adjustment" period and the risk of the candidate not fitting the company culture.
- **The "Innovation" Conflict:** A common contradiction exists where a high-level role requires "innovation" (favoring an external hire) but also requires "stability/trust" (favoring an internal hire). The decision depends on the specific "criticality" of the role.
- **Realistic Job Preview (RJP) Purpose:** RJP is not just about being "positive" to sell the job. It is a strategic tool to ensure the candidate knows the **worst** parts (e.g., no weekends, harsh customer service) so they do not quit later when they realize the reality of the role.
- **Why extra salary is paid:** It isn't always about wanting to pay more; it's often a result of "Market Dynamics" where the shortage of candidates gives the candidate leverage.
- **Accept vs. Reject Errors:**
 - **Accept Error:** Hiring a non-performer (high risk of hurting team morale and creating extra work for others).
 - **Reject Error:** Turning away a high-performer (harder to measure because the candidate never joins, but results in a "missed" win).
- **Halo & Horn Effects:** These are **subjectivity/perception errors**.
 - **Halo:** One positive trait = "They are perfect."
 - **Horn:** One negative trait = "They are unsuitable."
 - **Trap:** Interviewers must be trained to ignore these biases to ensure "Fairness" and "Validity."
- **External Environment Influence:** Factors like AI advancement, local labor laws, economic recessions, and even geopolitical conflict (e.g., war) act as constraints. These factors are often beyond a manager's control but dictate the **predictability** of hiring—sometimes a company must "hold" a position because of external volatility.
- **Anchoring Bias Trap:** In a long list of candidates, the first person interviewed sets the "standard." Interviewers may then subconsciously evaluate everyone else against that first person rather than against the job requirements.
- **Time/Pressure Trap:** Interviewers under pressure may fail to look for all "information dimensions" needed for success or may make "snap judgments" early in the process.
- **The "Suitability" Trap:** Just because someone is "good" doesn't mean they are "suitable." Suitability depends on the alignment of **Aspirations** with **Company Goals**. A high-performer with high aspirations will leave if the company cannot offer a growth path.
- **Work-Life Balance Context Trap:** A common mistake is giving a generic answer for work-life programs. You must justify your answer based on the **Industry/Sector**. A manufacturing unit cannot offer the same level of remote-work flexibility as a consulting firm due to operational site requirements.
- **"Choice" vs. "Requirement" (WLB):** A common trap is assuming a company "chooses" not to offer certain WLB benefits. In many sectors (e.g., Aviation), the lack of specific WLB options is a **requirement of the job** due to the nature of the operations (e.g., pilot rotations), not a disregard for employee well-being.

- **Hygiene Factors (Salary):** Candidates must recognize that items like "timely payment of salary" are **Hygiene Factors**. They do not necessarily motivate, but their absence causes significant dissatisfaction.
 - **Expectancy Valence:** A common mistake is offering a reward that the employee does not value. For a reward to be motivating, it must have **Valence**—the individual must find the specific reward (e.g., a specific trip or recognition) meaningful.
- Pay Dissatisfaction Bifurcation:** When a worker is dissatisfied with pay, it results in one of two distinct behaviors:
- **Active Demand:** Seeking more pay, leading to complaints, strikes, or quitting.
 - **Passive Withdrawal:** Reduced attraction to the job, leading to psychological withdrawal, physical stress, and absenteeism.
- **Stock Option Limitation:** **Stock options** are strictly for **internal** employees to build a "stake" in the company. They differ from **dividends**, which are based on existing ownership.
 - **Transparency vs. Favoritism:** To avoid the perception of favoritism when only some team members are promoted or given more projects, managers must provide **substantiated logic** (e.g., specific criteria the other candidates did not meet).
 - **Contextual Motivation Trap:** A common error is using a generic motivation theory for all roles. For the "**Labor Class**," the primary motivation is **survival** (securing daily income). For higher-level roles, motivation may be tied to growth or rewards. The justification must be context-specific.
 - **The "Mechanical" Fallacy:** Compensation should not be viewed as a "machinery" or purely a technical calculation. It is a management strategy focused on how a **human being** perceives and appreciates the rewards offered.

Exam Pointers

- **Identifying Vacancies:** A vacancy is specifically defined as the "gap" where the current **HR Inventory** (skills + headcount) does not meet the **Requirements** determined by project scope and span of control.
- **Succession Planning:** Note that this is particularly critical for "Senior Positions" or "Critical Roles."
- **Selecting the Recruitment Source:** When deciding between internal and external, weigh the need for "Cultural Consistency" against the need for "Innovation/Change."
- **Selection Success Criteria:** Success in selection is measured by the **likelihood of success** in the role—meaning the candidate's qualifications must be a direct "indicator" of their future performance.
- **The Selection Funnel:** Be prepared to explain why multiple rounds (Technical, HR, Assessment) are necessary: they act as a filter to ensure only the highest probability candidates reach the final offer.
- **Evidence of Validity:** When discussing selection tools, emphasize that the tool must be **valid** (measuring what it claims to measure) and **reliable** (consistent across conditions).

Case Study Strategy (Justification): When answering case-based questions, avoid one-liners. You must **justify** your answer using specific concepts:

- **Contextual WLB:** Reference the **Industry/Sector** (e.g., Manufacturing vs. IT) and the **Nature of the Job** to justify what WLB options are feasible.
- **Compensation Theory:** Use **Reinforcement Theory** to explain how rewards/penalties shape behavior, and **Expectancy Theory** (Expectancy, Instrumentality, Valence) to explain the internal motivation process.
- **Equity Theory:** Use the **Input/Output** comparison to explain why a worker feels under-rewarded or over-rewarded.
- **Agency Theory:** Use the distinction between **Stock Options** and **Dividends** to explain how to align the interests of employees (agents) with the owners (principals).
- **Contextual Motivation:** Identify the specific "hint" in the question (e.g., "labor," "grit," or "diversity") to determine which specific theory (Expectancy, Equity, or Reinforcement) is most appropriate to justify your answer.

- **Terminology:** Use specific terms like "Fringe Benefits," "Perquisites," "Stock Options," and "Hygiene Factors" to demonstrate a deep understanding of the curriculum.

Sources

- MPO Session 9-13 2026.pdf
- MBAZG511 - Lecture 12.pptx
- MBAZG511 Lecture 14.pptx
- MBAZG511_Managing People and Organization - Lectures 10-16 (2).pdf
- MBAZG511 Lecture 15.pptx
- MBAZG511 Lecture 7.pptx
- MBAZG511_Managing People and Organization - Lectures 1-9 (2).pdf

SCREENSHOT CONTENT

[shot_00-24-41.png] TITLE: Definition of Selection in HR Management Description: The slide defines the concept of "Selection" with two main points: 1. Selection is the process of picking individuals (out of the pool of job applicants) with requisite qualifications and competence to fill jobs in the organization. 2. "It is the process of differentiating between applicants in order to identify and hire those with a greater amount of likelihood of success in a job."

[shot_00-26-13.png] TITLE: Selection Process Flowchart Description: The slide outlines a "Selection Process" categorized under two initial headers: "External Environment" and "Internal Environment." Below these, a sequence of steps is enclosed within a "Required Approach" bracket, following a downward flow: 1. Preliminary Interview 2. Selection Tests

[shot_00-37-08.png] TITLE: Common Interview Problems Description: The slide lists "Common Interview Problems" as its main heading. Below the title, there is a bullet point stating "Halo effect". In the top right corner, there is a small segmented bar chart with three sections: "innovate" (orange), "achieve" (blue), and "lead" (red). The background contains a repetitive "Work Integrated Learning Programmes" watermark and a BITS Pilani logo.

[shot_00-50-57.png] TITLE: Work-Life Balance Case Study Description: The slide contains a text box titled "Case Study: Looking for Work-Life Balance?" which discusses the challenges of balancing work and personal life. The slide highlights that companies are increasingly facing demands for flexible work-life balance programs due to demographic changes, such as an aging population and a rise in "dual career couples." It specifically mentions that "Whirlpool" attempts to attract recruits with a "family-friendly culture" and provides an example of the company arranging housing for an intern and their family. At the top right, there are three boxes labeled "invest", "advice", and "lead". The bottom of the frame includes the text "BITS Pilani, Deemed to be University under Section 10 of UGC Act, 1956".

[shot_00-53-49.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_00-57-24.png] (Note: This screenshot was captured during the segment but nothing was specifically noted.)

[shot_01-14-06.png] TITLE: Learning Objectives - Compensation Management Description: The slide outlines the learning objectives for a "Compensation Management" session. It lists the following points: - Identify the different components of compensation - Theories of Compensation Management - Identify the variables that influence employee compensation - Case study

[shot_01-16-55.png] TITLE: Learning Objectives - Compensation Management Description: The slide outlines four learning objectives for a module on Compensation Management: * Identify the different

components of compensation * Theories of Compensation Management * Identify the variables that influence employee compensation * Case study

[shot_01-19-26.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-22-38.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-32-27.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-35-40.png] TITLE: Expectancy and Equity Theory Description: The slide features the main title "Expectancy and Equity Theory" at the top left. Below this, a large rectangular box contains a single bullet point with a YouTube link: "<https://www.youtube.com/watch?v=PJdp0YG4zfU>". In the top right corner, there are three colored rectangular boxes labeled "innovate", "achieve", and "lead". At the bottom right of the slide, there is a footer that reads "BITS Pilani, Deemed to be University under Section 3 of UGC Act, 1956".

[shot_01-36-30.png] TITLE: Motivation Theory (Vroom's Expectancy Theory) Description: The slide displays a large yellow background with a quote attributed to Vroom in 1964: "A person will be motivated if they believe their efforts will lead to what they want". To the right of the text is a portrait of a man and a decorative black seal icon. The bottom right corner features a logo that reads "CREATED USING ROWTON". In the top right corner, there are smaller windows showing a speaker and icons for several participants.

[shot_01-38-36.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-40-03.png] TITLE: Equity Theory Concept Slide Description: The slide explains "Equity theory" with a flowchart-like structure. The main text states: "Individual who see themselves under-rewarded / over-rewarded will experience distress." An arrow points from the title "Equity theory" to this statement, and another arrow points down from that statement to the concluding action: "lead effort to review equity".

[shot_01-41-11.png] TITLE: Effort and Rewards Balance Description: The slide features a blue background with a white border. On the left, there is a graphic of a lit lightbulb. The main text in the center reads "Needs to be balance between" above a formula in red text: " $\text{input} = \text{output}$ ". Two red arrows point from " $\text{input} = \text{output}$ " toward the concept of balance.

[shot_01-42-03.png] TITLE: Reward System Design Slide Description: The slide is titled "Reduce in equity help manager to design reward system". It features a large horizontal bar divided into sections. On the left side, there is an icon of a treasure chest with a dollar sign (\$) followed by a plus sign and a stick figure wearing a top hat. On the right side, there is a stick figure with a top hat followed by a heart/symbol.

[shot_01-43-17.png] TITLE: Equity Theory Concept Slide Description: The slide is titled "3. Cognitive option" and discusses concepts related to equity theory in management. It contains the following text and elements: - "Misleading others input or output" (with a red arrow pointing to it). - "Employee tend to make comparison" (written in red). - "He get more project than me" (written in red). - "to reduce" (with a red arrow pointing to it). - "Guidelines"

[shot_01-44-15.png] TITLE: Applicability of Equity Theory Description: The slide discusses the "Applicability equity theory in the modern world." It contains the statement: "Rewards given equally to all involved in the group's performance regardless of individual effort." The slide also features a graphic of the Earth and a row of stylized stick figures, illustrating a group setting.

[shot_01-47-08.png] TITLE: Consequences of Pay Dissatisfaction flowchart Description: The slide shows a diagram mapping the outcomes of two main issues: "Desire for More Pay" and "Reduced Attractiveness of Job".

[shot_01-48-20.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-49-25.png] TITLE: Motivation and Performance Model Description: The slide depicts a flowchart showing a cycle of employee motivation and performance. The process flows as follows: 1. **Employee sets expectations and goals** $\rightarrow$ **Performance is rewarded** 2. A dashed line labeled "Feedback to employees" loops back from "Performance is rewarded" to "Employee sets expectations and goals".

[shot_01-51-24.png] (Note: This screenshot was captured during the segment but contained no specific text or tables to transcribe.)

[shot_01-56-13.png] TITLE: Factors Influencing Remuneration Diagram Description: A concentric circle diagram illustrates the factors influencing remuneration. - **Center Circle:** Remuneration - **Middle Ring (Internal Factors):** Business Strategy, Job Evaluation and Appraisal. - **Outer Ring (External Factors):** Labour Market, Cost of Living,

[shot_01-57-09.png] TITLE: Business strategy and remuneration table Description: The slide features a table showing the relationship between business strategy and compensation.

Business Strategy	Market Position and Maturity	Compensation Strategy	Blend of Compensation
Invest to grow	Merging		